

3.5 Assessing competitiveness

Subject content	What students need to learn:
3.5.1 Interpretation of financial statements	a) Statement of comprehensive income (profit and loss account): - o key information - o stakeholder interest b) Statement of financial position (balance sheet) - o key information - o stakeholder interest
3.5.2 Ratio analysis	a) Calculate: - o Gearing ratio - o Return on capital employed (ROCE) b) Interpret ratios to make business decisions c) The limitations of ratio analysis
3.5.3 Human resources	a) Calculate and interpret the following to help make business decisions: - o labour productivity - o labour turnover and retention - o absenteeism b) Human resource strategies to increase productivity and retention and to reduce turnover and absenteeism: - o financial rewards - o employee share ownership - o consultation strategies - o empowerment strategies